

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 17-05

CMI DISTRIBUTION, INC.

COMPLAINANT,

v.

SERVICE BY AIR, INC., RADIANT CUSTOMS SERVICES INC. (FORMERLY KNOWN
AS SBA CONSOLIDATORS, INC.) and LAS FREIGHT SYSTEM LTD.

RESPONDENTS.

STATEMENT OF MATERIAL FACTS
**IN SUPPORT OF MOTION TO DISMISS OF RESPONDENTS SERVICE BY AIR, INC.
AND RADIANT CUSTOMS SERVICES INC.**

COME NOW respondents Service by Air, Inc. and Radiant Customs Services Inc.
(formerly known as SBA Consolidators, Inc.), pursuant to paragraph 15 of the Initial Order, and
submit this Statement of Material Facts in support of their concurrently filed Motion to Dismiss:

Complainant alleges in its Verified Complaint the following:

2. Respondent Service by Air, Inc. ("Service by Air") ... is, and at all times pertinent to this Verified Complaint was, an OTI within the meaning of the Shipping Act, 46 U.S.C. § 40102(19), subject to regulation by the FMC.
3. Respondent Radiant Customs Services Inc. ("Radiant"), formerly known as SBA Consolidators ... is, and at all times pertinent to this Verified Complaint was, an OTI within the meaning of the Shipping Act, 46 U.S.C. § 40102(19), subject to regulation by the FMC and bearing OTI License Number 9688. SBA Consolidators, Inc. was acting as an NVOCC during the relevant time period.

8. On information and belief, Respondents, either individually or jointly, operated as Non-Vessel- Operating Common Carriers (NVOCCs) within the meaning of the Shipping Act on the more than 60 shipments at issue.
9. On information and belief, Respondents, either individually or jointly, held themselves out as NVOCCs.
10. Although the Shipments moved by ocean, rather than by air, Service by Air issued airway bills for the Shipments.
11. The Airway bills of lading falsely represented that goods were moving by air through locations where they were not being transported.
12. In issuing bills of lading for the ocean transportation at issue, Service by Air was acting as an NVOCC.
13. In issuing bills of lading for the ocean transportation at issue, Service by Air held itself out as an NVOCC.
16. Radiant is listed as a licensed OTI. During the time period at issue, Radiant, formerly known as SBA Consolidators, was a licensed OTI and had a tariff on file with the FMC. SBA Consolidators' tariff on file with the FMC contains no rules pertaining to demurrage and states, at a section entitled "Sub-Rule 004-Free Time and Detention at Destination Terminal," "No specific rules in effect at this time."

In section V of its Verified Complaint, Complainant alleges causes of action against

Respondents as follows:

- A) 46 U.S.C. § 40901-Acting as an OTI Without Holding a License Issued by the Commission;
- B) 46 U.S.C. § 41102(c) - Failure to Observe Just and Reasonable Practices;
- C) 46 U.S.C. § 41104 (2) (c) - Failure to Provide Service in Accordance with Rates, Charges, and Rules Contained in a Published Tariff
- D) 46 U.S.C. § 40501 - Failure to Maintain Tariff Showing All Rates, Charges, Rules and Practices

The following facts are confirmed by the concurrently filed Affidavit of Edward A.

Zasada:

1. At times material, Service by Air, Inc. ("SBA"), located in Bensenville, Illinois, operated as an indirect air carrier. It was never licensed for, and has never participated in, ocean transportation.

2. At times material, SBA's wholly-owned subsidiary, SBA Consolidators, Inc., operated as a customs brokerage and warehouse operator, and held an FMC-issued ocean freight forwarder license.

3. In or about July 2015, non-party Radiant Global Logistics, Inc. acquired SBA. Radiant Customs Services Inc. ("Radiant"), a wholly owned subsidiary of Radiant Global Logistics, Inc., was formed in 2010, and predates its acquisition of SBA Consolidators, Inc. SBA still exists as a separate corporate entity wholly owned by Radiant Global Logistics, Inc.

4. In or about early 2014, complainant CMI Distribution, Inc. ("CMI") contacted SBA requesting that SBA arrange for importation from China into the U.S. of some 60 containers of plastic bags. CMI specifically requested ocean transportation, port-to-door service, and customs clearance.

5. SBA engaged China-based LAS Freight to arrange CMI's ocean transports. In turn, LAS Freight engaged a series of China ocean transportation service providers which issued through bills of lading from China to SBA's facility in Bensenville for the transports at issue. The consignee identified in each bill of lading is SBA, and the shipper identified is LAS Freight Systems, Inc.'s subsidiary "LAS-SWEG Logistics (Shanghai), Ltd." The carriers of record identified in the bills of lading are China-based forwarders "U.S. United Logistics (NINGNO) Co.," "Ocean Star Transport Int'l, Ltd.," "Ever Since Group Co., Ltd.," "Acme Freight Services Corp.," "Anchor Logistics," and "Global Links Express, Inc." No bill of lading identifies SBA as an NVOCC or otherwise a carrier of record.

6. The ocean transports landed in various west coast ports, and were transported by rail to inland destinations, mostly Chicago. SBA Consolidators, Inc. processed customs clearance, which is the only role it played in the entire series of transactions at issue.

7. SBA engaged motor carrier Freight Tech Cartage, Inc. (“Freight Tech”) to transport most of the cargo from the inland rail yards to Freight Tech’s yard in Naperville, Illinois, where it would await further delivery instructions. CMI’s China-based suppliers instructed LAS Freight, which in turn instructed SBA, not to release the cargo to CMI unless and until confirmation was received that CMI had paid the suppliers under the commercial invoices for complainant’s purchase of the cargo.

8. At various times between April 2014 and June 2015, SBA notified CMI that its cargo had arrived, and was ready for onward delivery from Freight Tech’s yard pending SBA’s receipt of confirmation from the China-based suppliers that complainant had paid the commercial invoices. However, CMI repetitiously advised SBA over an extended time period that CMI was experiencing cash-flow issues that prevented it from paying the suppliers.

9. SBA informed CMI numerous times that the “free days” Freight Tech allotted for storage had expired for specified containers, and that extensive “demurrage” charges were accruing. Indeed, SBA persistently urged CMI to retrieve its property to avoid the mounting charges, but CMI failed to do so.

10. Freight Tech charged SBA, and SBA, on CMI behalf, paid Freight Tech, some 1,400 storage days between April 2014 and July 2015. When CMI had rectified its cash-flow issues, it agreed it owed, and fully paid, SBA the invoiced demurrage without complaint or objection.

Respectfully submitted,



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